The different measures of financial decentralisation discussed above did not really mean the beginning of genuine provincial autonomy or of Indian participation in provincial administration. They were much more in the nature of administrative reorganisation whose chief aims were to keep down expenditure and increase income. In theory as well as in practice, the central government remained supreme and continued to exercise effective and detailed control over the provincial governments. This was inevitable, for both the central government and the provincial governments were completely subordinated to the Secretary of State and the British government.

Local Bodies

Financial difficulties led the government to further decentralise administration by promoting local government through municipalities and district boards. The Industrial Revolution gradually transformed European economy and society in the nineteenth century. India's increasing contact with Europe and new modes of imperialism and economic exploitation made it necessary that some of the European advances in economy, sanitation, and education should be transplanted in India. Moreover, the rising Indian nationalist movement demanded the introduction of modern improvements in civic life. Thus the need for education of the masses, sanitation, water supply, better roads, and other civic amenities was increasingly felt. The government could no longer afford to ignore it. But its finances were already in disorder due to heavy expenditure on the army and the railways. It could not increase its income through new taxes as the burden of the existing taxation was already very heavy on the poor and a further addition to it was likely to create discontent against the government. On the other hand, the government did not want to tax the upper classes, especially the British civil servants, planters and traders. But the authorities felt that the people would not mind paying new taxes if they knew that their proceeds would be spent on their own welfare. It was therefore decided to transfer local services like education, health, sanitation and water supply to local bodies who would finance them through local